

CONFIRMATION BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Confirmation bias can cause investors to seek out only information that confirms their beliefs about an investment that they have made and to not seek out information that may contradict their beliefs. This behavior can leave investors in the dark regarding, for example, the imminent decline of a stock.
2. When investors believe strongly in predetermined “screens,” such as stocks breaking through a 52-week price high, confirmation bias is usually at work. These investors only use information that confirms their beliefs. They may blind themselves to information that demonstrates that a stock breaking through its 52-week high may not make a good investment.
3. Confirmation bias can cause employees to overconcentrate in company stock. As IBM and other examples demonstrate, intraoffice buzz about a company’s prospects does not justify indiscriminate reliance by employees on company stock. People naturally tend to unduly emphasize evidence suggesting that the companies they work for will do well.
4. Confirmation bias can cause investors to continue to hold underdiversified portfolios. Many practitioners have seen clients become infatuated with certain stocks—not always the stocks of employer corporations. Over the course of years, such a client might accrue a large position that ultimately produces a lopsided portfolio. These clients do not want to hear anything negative about favored investments but rather seek, single-mindedly, confirmation that the position will pay off.

RESEARCH REVIEW

Professor Meir Statman and investment professional Ken Fisher provided an excellent example of confirmation bias in action in their paper “Cognitive Biases in Market Forecasts.”² Here, Statman and Fisher test the commonly held belief that price/earnings ratios (P/Es) can forecast stock returns. It seems logical to most investors that when P/Es surpass historical averages, shareholders should sell. Likewise, conventional wisdom dictates that stocks whose P/Es fall below historical averages make good buys. Statman and Fisher examined the validity of these principles.